

We see change as the enemy of investments ... so we look for the absence of change. We don't like to lose money. Capitalism is pretty brutal. We look for mundane products that everyone needs.^{[1](#)}

—Warren Buffett

As long as humans travel long distances and have a need to sleep and refresh themselves, there will always be a need for motels and hotels. My previous business, TransTech, appears to be in a rapidly changing industry, but it too is a simple low-tech business. At its core, it is simply a service business. While information technology (IT) has changed dramatically over the years, the underlying nature and economics of the services delivered are virtually the same. IBM's technology-centric business changes very quickly, but IBM Global Services or Accenture's business stays in a pretty steady state.

3. BUY DISTRESSED BUSINESSES IN DISTRESSED INDUSTRIES.

Never count on making a good sale. Have the purchase price be so attractive that even a mediocre sale gives good results.^{[2](#)}

—Warren Buffett

The entrance strategy is actually more important than the exit strategy.^{[3](#)}

—Eddie Lampert